IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA)NO.83/BB/2017
u/s 230-232 read with Section 234 of the Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMTION OF
MAGNET 360, LLC
WITH
MINDTREE LIMITED

Order Delivered on: 14TH December 2017

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Mindtree Limited,
Global Village, RVCE Post,
Mysore Road,
Bengaluru-560059. - APPLICANT / TRANSFEREE COMPANY

For the Petitioner(s): Mr. N.K. Dilip, Mr. M.G.Nanjappa & Mr. Vivek B.S, Advocates, Tatva Legal, 4th Floor, Phoenix Pinnacl, 46, Ulsoor Road, Yellappa Chetty Layout, Bengaluru-560042 Counsels for the Applicant Company.

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - Author**

O R D E R

This Company Application is filed on behalf of the Applicant /Transferee Company, praying to order for:

a) convening meeting of the unsecured creditors of Transferee Company; and
b) dispensation of the meetings of the secured creditors of the Transferee Company as there are no secured creditors; and
c) order a meeting of the shareholders as prayed for in the synopsis submitted by the Applicant Transferee Company; for purposes of considering the Scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

It is averred in the Company Application that, the Transferee Company was originally incorporated as a private company under the name and style of **MINDTREE CONSULTING PRIVATE LIMITED** on 5th August 1999. Subsequently, the company ceased to be a private company and the name of the Transferee Company was changed to MindTree Consulting Limited on 6th November 2006. Subsequently on 28th March 2008, the name of the Transferee Company was changed to **MINDTREE LIMITED** bearing CIN No. **L72200KA1999PC025564**.

The Registered office of the Transferee Company is situated at # Global Village, RVCE Post, Mysore Road, Bengaluru-560059.

The Transferee Company's objects as set out in its Memorandum of Association inter alia includes is stated hereunder:

i) To carry on the business of software development, production, sub-contracting and experts, systems engineering services and training,

ii) To carry on the business of management consulting of all types providing information management and movement services, build advisory services of all types, installations, maintenance and supply services including providing associated hardware and software products, etc.,

The copies of Certificate of Incorporation and Memorandum and Articles of Association of the Applicant/Transferee Company are produced as **Annexure-A**.

The authorized share capital of the Applicant/Transferee Company is Rs 800,00,00,000/- divided into 80,00,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 163,89,88,860- divided into 16,38,98,886 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance sheet and Profit and Loss Account of the Applicant / Transferee Company as on 30th June 2017 are produced as **Annexure-B1 and B2.**

It is further averred that, the Transferor Company MAGNET 360, LLC was incorporated/organised on 25th March, 2008, under Chapter 322B of the Minnesota Statutes and governed by Chapter 322C of the Minnesota Statutes and the Operating Agreement of the Transferor Company dated 19th February 2016, amending and restating the Amended and Restated Member Control Agreement dated 1st January 2012.

The principal place of business of the Transferor Company is situated at 5757 Wayzata Boulevard Minneapolis, MN 55416 USA. The Transferor Company is a wholly owned subsidiary of the Applicant/Transferee Company.

It is further averred that, pursuant to Sections 322C.1001 through 322C.1005 of the Minnesota Statutes, the amalgamation of the Transferor Company with the Transferee Company will be characterised as a merger of a Minnesota limited liability company with and into a foreign organisation under Sections 322C.1001 through 322C.1005 and Section 322B.76 of the Minnesota Statutes, with the Transferee Company being the surviving organisation (as such term is defined in Section 322C 1001, Sub-division 13 of the Minnesota Statutes) and hence, the Applicant/Transferee Company will ensure that, the Transferor Company takes appropriate approval under the applicable Laws, Rules and Regulations of the Minnesota Statutes and will also ensure that, the approval of the creditors or depositors if any as on 30th September 2017 is to be taken from all these respective creditors etc., if applicable.

We have gone through the **Annexure-A** reflecting the conversion of Transferee Company MindTree Consulting Limited to MindTree Limited on 28th March 2008.

As per the Audited Balance sheet of the Transferee Company (as shown at page No.208 of the Petition) that Transferee Company has got Unsecured Long Term Borrowings from Council for Scientific and Industrial Research and is carrying interest of 3% and is repayable in full on June 2021 as at 31/03/2017 is Rs 13 Million. Similarly, they also got unsecured loans from Banks as at 31/03/2017. Rs. 942 Millions and other financial liabilities Rs. 2412 Millions as at 31/03/2017. We have seen extract of the Minutes of Board of Directors meeting held on 6th October 2017 at Bangalore at Annexure-G.

We have also seen **Annexure-H** i.e., Written Action of the Board of Governors of Magnet 360, LLC Effective as of 6th October 2017. Deloitte Haskins & Sells, Bengaluru, as an Independent Auditor's Certificate certifying the accounting treatment contained in the Scheme of Amalgamation of Magnet 360 LLC with Mindtree Limited and their respective shareholders and creditors. We have also seen the letter addressed by Mindtree Limited Company Secretary to BSE Limited, National Stock Exchange of India Limited, Mumbai on 6th October 2017 in respect of intimation of Scheme of Amalgamation pursuant to regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 which is shown as **Annexure-L & M**.

We have also seen letter of Deloitte Haskins & Sells, Bangalore Independent Auditor's certificate certifying the total number of shares furnished in the Statement of Shareholders of the Company as at 30th September 2017 as per details given hereunder:-

Category	Category of shareholders	No. of shareholders	No. of fully paid up equity shares held	Total No. of shares held
A	Promoter & Promoter group	15	22357498	22357498
B	Public	97951	141541388	141541388
C	Non promoter-Non public		0	0
C1	Shares Underlying DRs		0	0
C2	Shares held by employee Trust		0	0
	Total	**97966**	**163898886**	**163898886**

We have also seen letter dated 26th October 2017 of Deloitte Haskins & Sells, Bangalore Independent Auditor's certificate certifying the Statement of Secured and Unsecured Sundry Creditors as at 30th September 2017 which is shown as **Annxure-Q**.

The statement of Secured and Unsecured Sundry Creditors as at 30th September 2017 of the Company are unsigned both from Auditors and Management. Although the main letter is certified by the Auditor based on this there are no secured creditors and there are unsecured creditors valuing Rs 2,828,384,053 alongwith Note-1reflecting what types of creditors are included in this.

Thereafter on 6th December 2017, Applicant company has filed an Affidavit and clarifying their position on Transferor Company and has complied with provisions of statute of Minnesota Statutes

In the light of the above, this Tribunal has to seek clarification from the Applicant/Transferee Company with regard to:

1) The Transferor Company i.e., Magnet 360 LLC is located in the Minnesota Statutes in the State of Minneapolis, USA and hence the Transferor Company has to comply with certain foreign regulations. Accordingly to clarify what are the compliances that Foreign Company is to do at the Foreign land apart from Indian Law. We need the detailed on the same, in order to comply the provisions of Section 234 of the Companies Act, 1956.

2) The list of Unsecured Creditors attached with the Independent Auditor Certificate certifying statement of Secured Creditors and Unsecured Creditors as at 30/09/2017 dated 26th October 2017 is not initial by the Auditor and needs to be signed by the Auditors.
3) These unsecured creditors list also contained Bank borrowing from HDFC Bank and the Council for Scientific and Industrial Research. The details are:

a) HDFC Bank-Short Term Loan	-	Rs 150,00,00,000/-
b) HDFC Bank-CP	-	Rs 97,44,50,148/-
c) Council for Scientific & Indl. Research	-	Rs 1,37,42,700/-

As per Sub-Section (6) of Section 230 of the Companies Act, where at a separate meeting of class of creditors required to be convened. How bank borrowing can be clubbed with that of Government loan. This may please be clarified.

4) The Petitioner Company is hereby also directed for submitting consent letter for getting Transferor Company viz., Magnet 360 LLC Minnesota Statutes in the State of Minneapolis, USA will have to take prior approval from the appropriate authority as per the prevailing rules and regulations of that country and will also require to comply guidelines of RBI and respective Stocks Exchanges like BSE & NSE etc.,

In pursuant to the clarification called for by the Tribunal, the Counsel for Applicant Company has filed Additional Affidavit dated 6th December 2017 of the Authorized Signatory stating that:-

a) In pursuant to Sections 322C.1001 through 322C.1005 of the Minnesota Statutes, the amalgamation of the Transferor Company with the Transferee Company will be characterized as a merger of a Minnesota Limited liability company with and into a foreign organisation under the sections 322C.1001 through 322C.1005 and Section 322B.76 of the Minnesota Statutes, with the Transferee Company being the surviving organization (as such term is defined in Sections 322C.1001 sub-division 13 of the Minnesota Statutes). The extract of Sections 322C.1001 through 322C.1005 and Section 322B.76of the Minnesota Statutes are annexed to the Company Application as shown in **Annexure-E**).
b) That Section 322C.11015, a plan of merger or exchange must be consented by all the members of a constituent limited liability company. The said provision of the Minnesota Statute has been complied with wherein the sole member of the Transferor Company on 6th October 2017 has passed a resolution approving the Scheme of Amalgamation with the Applicant/Transferee Company and further stated that, the relevant provisions stipulated Sections 322C.1001 through 322C.1005 and Section 322B.76 necessary for a Plan of merger between the Transferor Company and Applicant/Transferee Company are complied with under Minnesota

Statutes 2015. The certified copy of the Resolution dated 6th October 2017 passed by the sole member of the Transferor Company is filed and shown as **Annexure-J.**

The Applicant Company have also submitted revised Independent Auditors Report in respect of Secured & Unsecured Creditors as also on Borrowings on 06/12/2017.

After hearing the counsel and after perusing the documents filed and in light of the above, the Applicant is seeking an order to dispense with convening of meeting of Secured Creditors on the ground that there are no Secured Creditors in the Applicant Company.

The meeting of the Shareholders and Unsecured Creditors of the Applicant /Transferee Company be convened and held at Radisson Blu Atria, Bengaluru, on Wednesday the 31st January 2018 at 11 AM and 10 AM respectively for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Mindtree Limited with Magnet 360, LLC (Transferor Company).

Mr. Krishnakumar N. Executive Chairman of the Applicant/Transferee Company failing which **Mr. Rostow Ravanan,** CEO & Managing Director as proposed by the Applicant Company is appointed as Chairperson and **Mr. Nagendra Rao**, Practicing Company Secretary as Scrutinizer for the Shareholders and Unsecured Creditors meeting. The remuneration of Chairperson and Scrutinizer is fixed at R.20,000/- and Rs.10,000/- respectively for convening the shareholders and Unsecured Creditors meetings.

The quorum for the Meetings of the shareholders and Unsecured Creditors is 100 (one hundred) and 35 (thirtyfive) respectively in accordance with Section 103 of the Companies Act, 2013.

The Notice of the Meetings of the shareholders & Unsecured Creditors shall be published in an English Daily "**Business Standard**" and in Kannada Daily "**Kannada Prabha**".

The Applicant Company or its authorized signatory is directed to issue notice(s) to the shareholders and Unsecured Creditors by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity shareholders as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Equity Shareholders & Unsecured Creditors Meeting at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under the Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Equity Shareholders and Unsecured Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority with PAN number within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Reserve Bank of India pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities and Exchange Board of India pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities and Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities and Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Competition Commission of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Competition Commission of India within 30 days of the date of receipt of the notice it will be presumed that Competition Commission of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other sectoral regulators, stock exchange and authorities if any, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other sectoral regulators, stock exchange and authorities within 30 days of the date of receipt of the notice it will be presumed that the other sectoral regulators, stock exchange and authorities has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The said Chairperson shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty Eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The value and number of the shares of each member shall be in accordance with the books/register of the Applicant Company or depository records and where the entries in the books/register/depository records are disputed, the Chairperson of the meeting shall determine the value for the purpose of the aforesaid meeting and his decision in that behalf would be final.

The said Chairperson to file affidavit not less than seven days before the day fixed for holding of the meetings and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

14.12.17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL